CUSTOMER COHORT, RETENTION & PROFITABILITY REVIEW

Growth is real. Profit is not keeping up.

E-commerce retailer · 2020–2023 · 17,415 customers · 25,728 orders

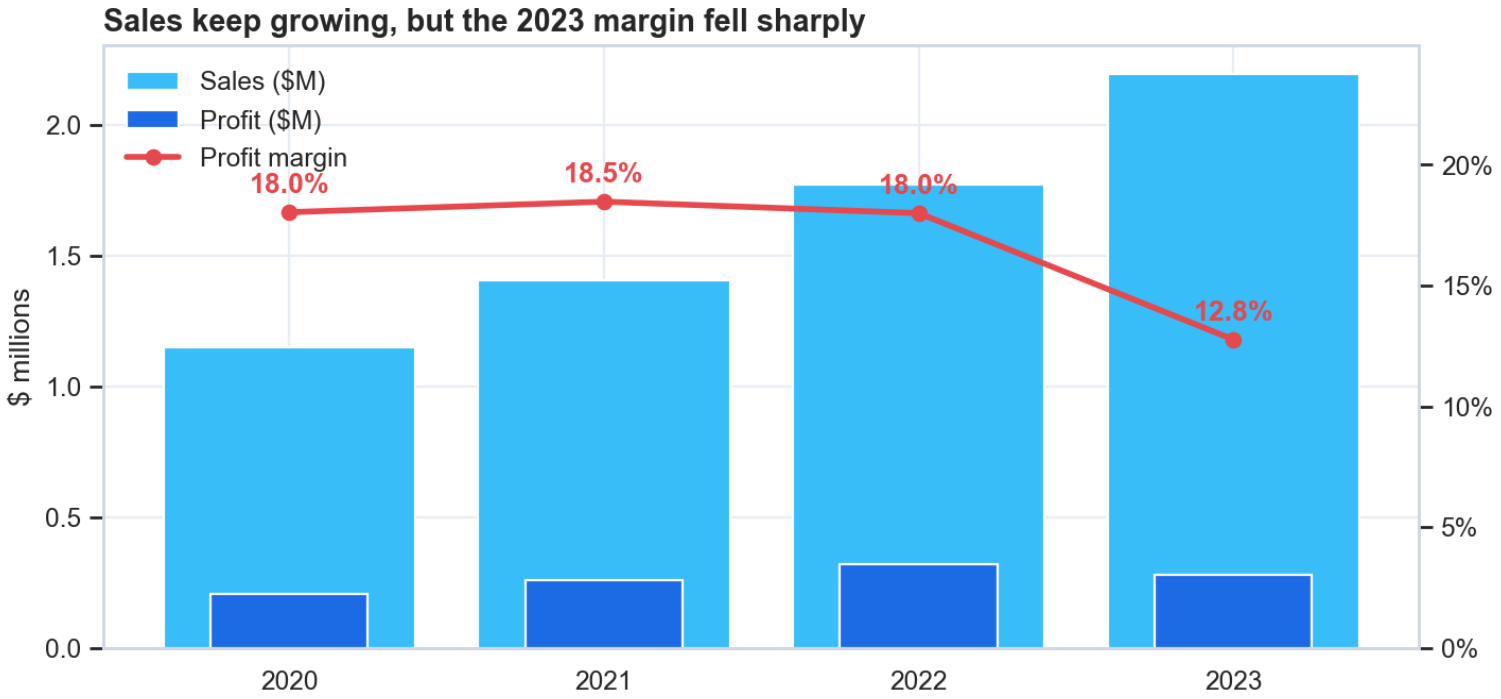
Pham Hong Hieu (Haven) · github.com/Haven-Pham

Executive summary

1. 2023 sales +24%, but profit -12%: margin 18.0% → 12.8% in every category.
2. Repeat customers are 31% of customers but 56% of profit ($111 each vs $39).
3. Only ~2% of a cohort buys in any later month; the median gap to a 2nd purchase is 364 days.
4. Discounts above 20% lost $289K over four years.
5. Income does not separate profitable customers; behaviour does.

PROFITABILITY

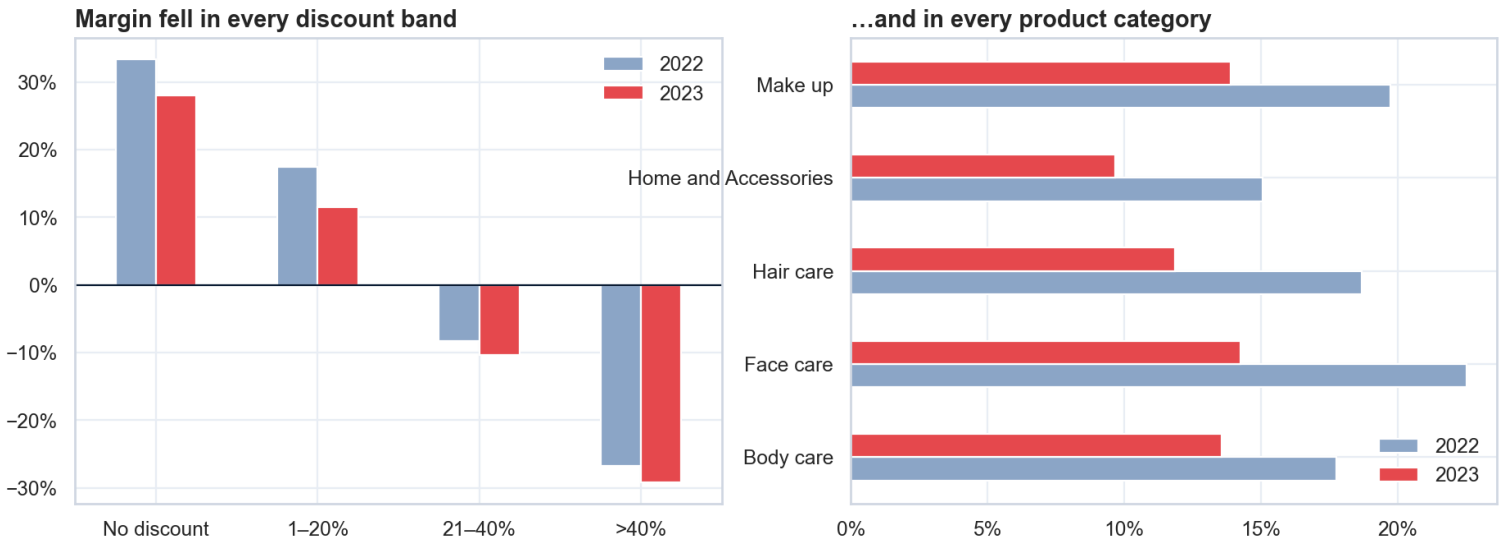
2023: sales up, margin down



- Sales $1.77M → $2.19M
- Profit $319K → $280K
- Margin gap worth ≈ $115K at 2023 volume

ROOT CAUSE

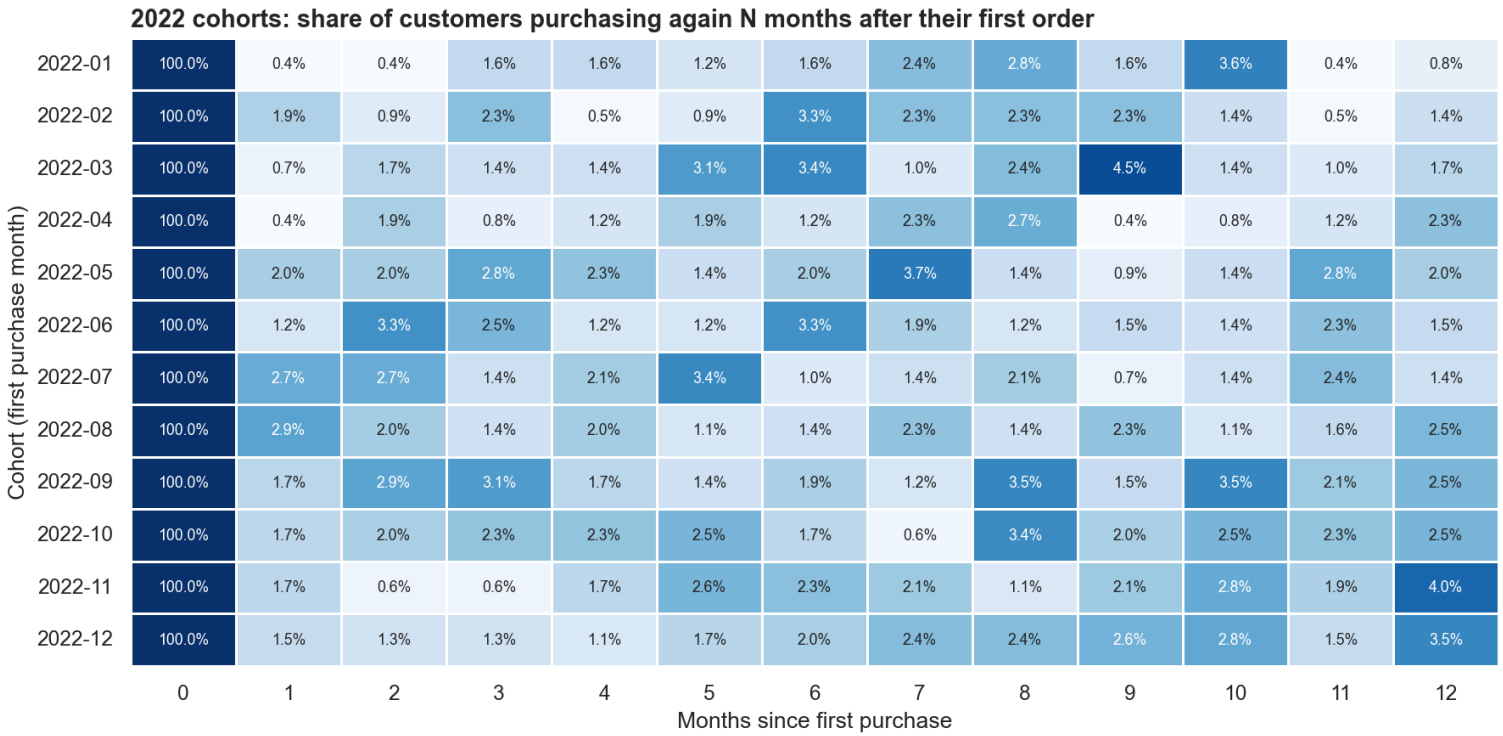
Not discounts, not mix: unit economics



- Undiscounted margin 33.4% → 28.1%
- Every category lost 4–8 pp
- Category mix moved < 1 pp
- Next step: cost and list-price data

RETENTION

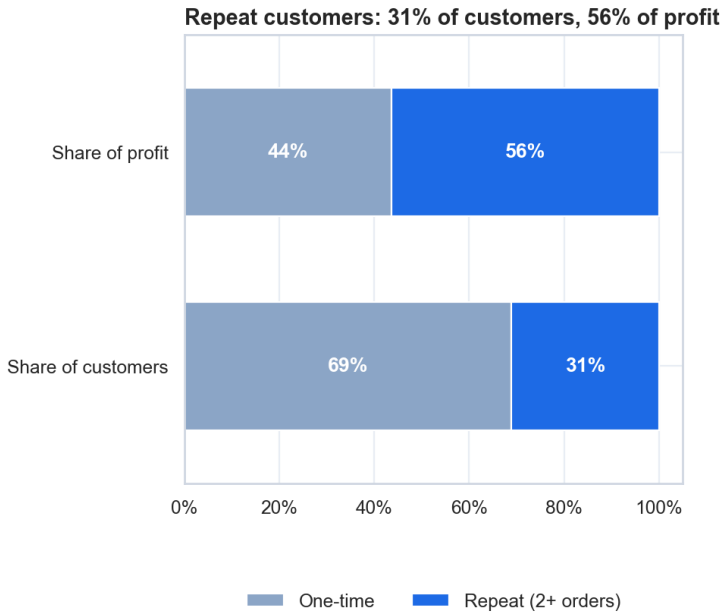
Most customers never come back

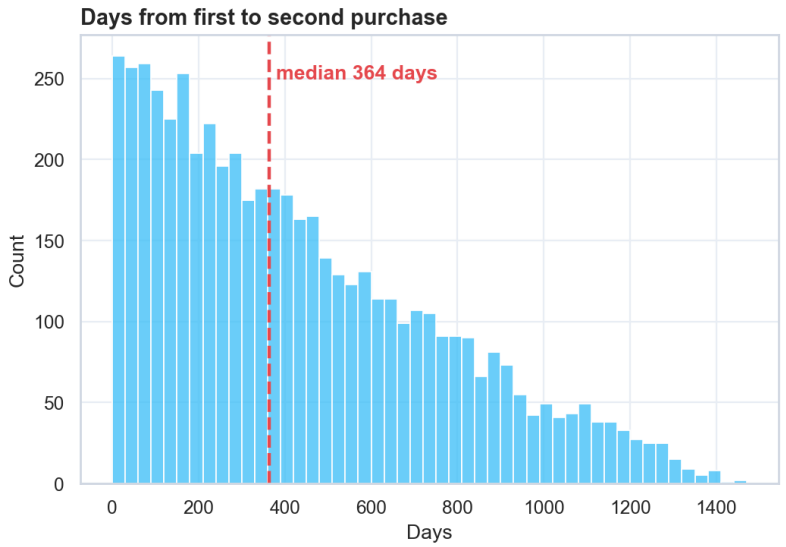


- 0.4–2.9% of a 2022 cohort active in any later month
- No decay curve: return is rare but steady
- Target the second purchase

CUSTOMER VALUE

Repeat buyers carry the profit

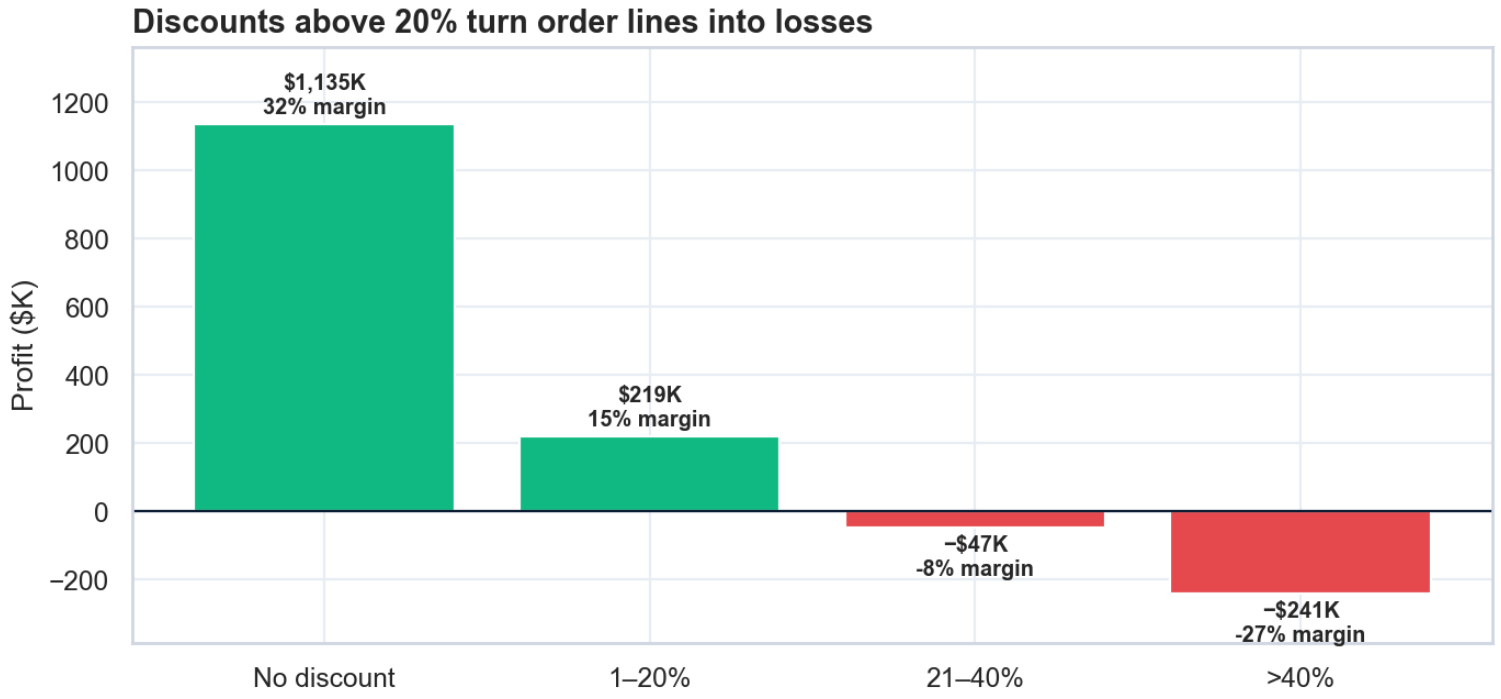




- 31% of customers → 56% of profit
- Median 364 days to 2nd purchase
- +5% repeat conversion ≈ +$43K profit

PRICING

Deep discounts lose money



- No discount: 31.7% margin
- 21–40%: −8.1% · >40%: −27.0%
- $289K lost on deep-discount lines

WHAT TO DO NEXT

Recommendations

1. Finance · Procurement: explain the 2023 margin drop with cost and list-price data (≈ $115K/yr).
2. Commercial: cap discounts at 20% with approval above it (up to ≈ $72K/yr).
3. CRM: second-purchase programme timed at months 10–12, plus a tested 60–90-day nudge (≈ +$43K).
4. Sales: account management for Corporate (30% of customers, 57% of profit).
5. Marketing: replace income targeting with RFM and discount-sensitivity segments.